TRACKHAWK ADVISORS

Case Study: Carvana's Resurgence

Updated as of Oct-26

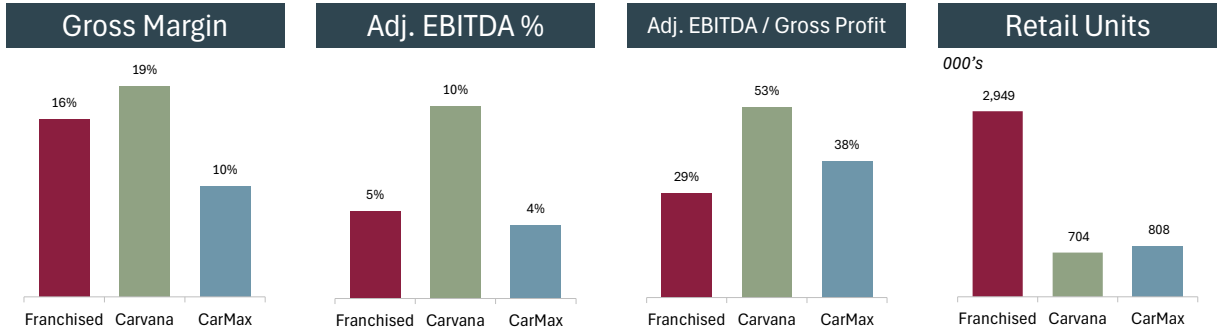
CARVANA

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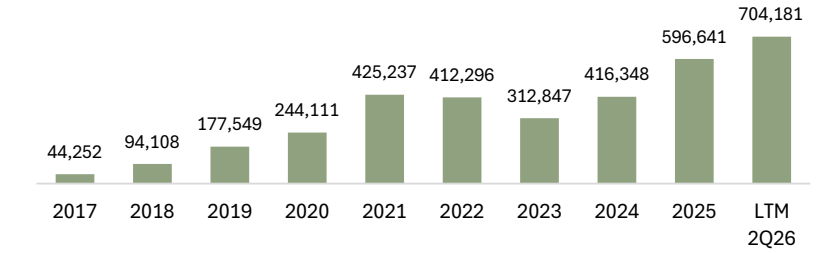
Carvana's Turnaround from a $1bn Adj. EBITDA Loss to $2.6bn of Adj. EBITDA

- **2Q26 results were the best quarterly results in company history in terms of scale and profitability**
  - Used retail unit sales of **197,325 +38% YoY**
  - Revenue of **$7.4bn +52% YoY**
  - Adj. EBITDA of **$769mm +28.0% YoY** and **Adj. EBITDA margin of 10.4%**
- CVNA's 1H26 results show sequential increases in retail units and Adj. EBITDA for new quarterly records; management guided to FY26 Adj. EBITDA of $2.7 – $3.0bn (vs. $2.24bn in FY25)
- **Update on Management Objective:**
  - CVNA reaffirmed that it is on the path toward its goal of "**selling 3mm retail units per year at a 13.5% Adj. EBITDA margin by 2030 to 2035**"
- ***With a market cap ~2.1x larger than all the franchised dealers combined and 8.8x KMX, equity investors are "all-in" with CVNA's expectations that it can expand margins while growing its unit sales over 4x***

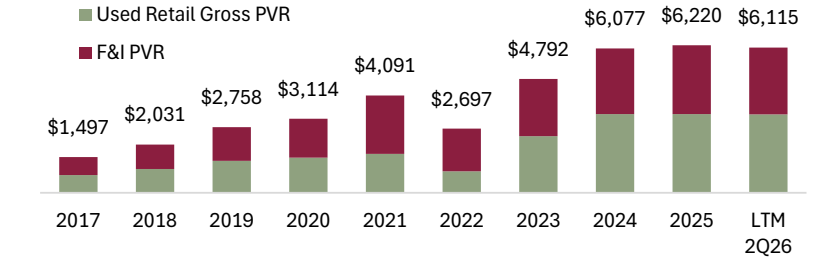
Comparison of LTM 2Q26 Metrics - Carvana vs CarMax vs All Public Dealers (1)



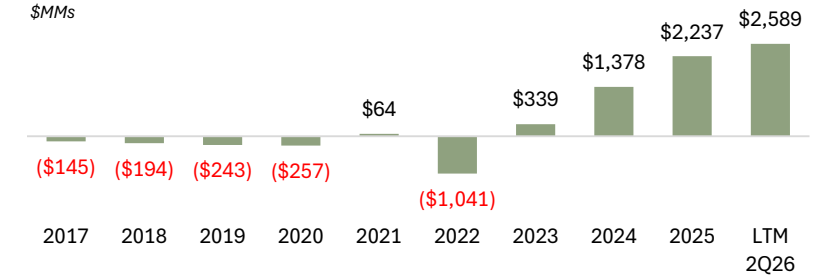
CVNA Annual Used Retail Units



CVNA Used Retail Gross, F&I, and Total PVR



CVNA Adj. EBITDA



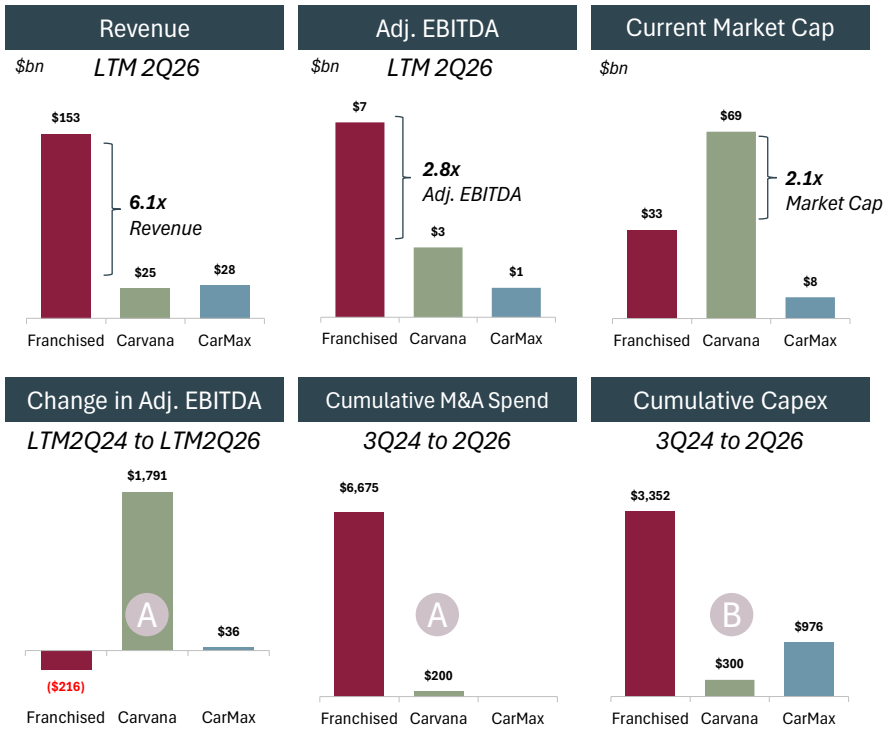
Source: Publicly available information from company financial statements
(1) Public Dealers includes the combined totals of ABG, AN, GPI, LAD, PAG and SAH. Financial data as of 6/30/26

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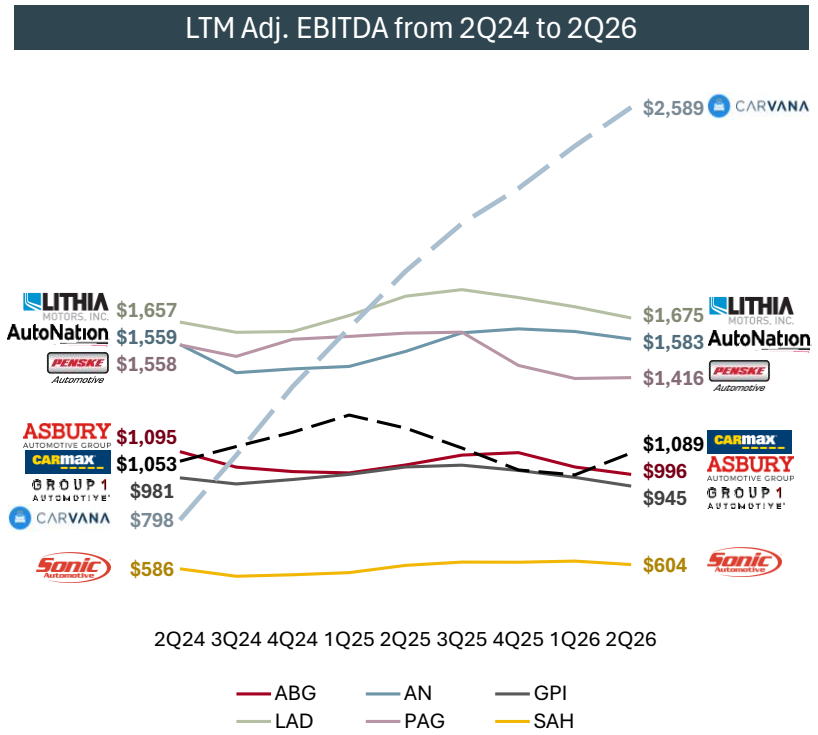
"Worst to First" - Carvana is now the Most Profitable of all Public Dealers and by Far the Most Valuable

Commentary on CVNA's Valuation

- **Why is CVNA's market cap 2.1x and 1.7x larger than that of the franchised and public dealers, respectively?**
  - CVNA is a high-profile, e-commerce *"tech stock"* that is covered by Technology (not auto) equity research analysts
  - CVNA's avg daily trading volume is >3m shares, while the franchised dealers average <300k shares
  - (A) Massive organic growth potential selling DTC in a large, highly-fragmented market, while *growth for franchised dealers is largely limited to capital-intensive acquisitions*
  - (B) *"Asset-lite" business model* that requires limited capex and minimal facility overhead
- **What are investors overlooking about CVNA and franchised dealers that creates such a valuation gap?**
  - CVNA is entirely exposed to the conditions in the used market
  - Adverse conditions in the *securitization market could freeze* Carvana's ability to unload consumer vehicle loans it made
  - Dealers take low / no risk to generate F&I income
  - *CVNA is precariously dependent on Ally* for floorplan lending and as a buyer for its auto finance receivables
  - Dealers have assets besides cars to pledge as collateral for lenders, as well as support from captives
  - *Governance - the Garcias hold >80% voting rights*



- Since 3Q24, U.S. public franchised dealers spent $6.7bn on M&A and $3.4bn on capex ($10.0bn total), while LTM Adj. EBITDA declined ~$216mm
- Conversely, since 3Q24, CVNA spent **$500mm** on M&A and capex, while its LTM Adj. EBITDA increased by **$1.8bn to $2.6bn**



- CVNA management set a high bar for its future performance
  - Any unusual selling of stock by the Garcias would be a sign that the bar may be too high

Source: Publicly available information from company financial statements
(1) Public Dealers includes the combined totals of ABG, AN, GPI, LAD, PAG and SAH. Financial data as of 6/30/26; Current Market Cap as of 9/30/26